Bright Kids Uganda Microloans Needs Assessment

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Bright Kids Enterpreises Microloan Program

The success of microloans and their sustainability relies on their reciprocal nature. They are not a gift, but an investment in the communities and an investment in each microloan recipient. As such, the microloan program of Bright Kids Uganda (BKU) should do everything it can to ensure the success of the participants in order to reach their mission of aiding business growth, ensuring Bright Kids Uganda's own financial gain, and the overall growth of the program into regions such as Gulu and Iganga. The goals of the BKE lenders should therefore prioritize the needs of the recipients. Throughout the evaluation of the microloan recipient businesses of BKE, our team has seen steady repayments under a new system with a stable coordinator. However, not all businesses are growing to maturity, and many continue to rely on the income from the loan to sustain their daily business and personal activities. This Needs Assessment will attempt to identify the crucial needs of the local enterprises to be addressed in future trainings for the BKU recipients.

About the Hosting Company

Bright Kids Uganda is a local non-profit in the Kampala, Uganda region that serves the local community through a variety of social programs. One of these programs is their business generating initiative, Bright Kids Enterprises (BKE). BKE serves as the lender and an intermediary in the Entebbe microloan market; funded by the US-based Heavens Family. Under Heavens Family's system, BKE receives a portion of the interest accrued on repaid loans as payment for their provision of the loan in the local marketplace. Therefore, the success of the Microloan program is mutually contingent on three stakeholders: BKE, Heaven's Family, and the loan recipients. Because BKE acts as an intermediary, they are often required to cover short payments to sustain their relationship with Heavens Family. Furthermore, the goal of BKE's lending program is to create self-sufficiency among those burdened a history of violence, war, or otherwise socially outcast. Many times, this requiring not only emboldening a recipients' business, but their personal needs for self-sufficiency as well. In the process, BKE forms strong relationships with their partner recipients that must be acknowledged in the lender and borrower relationship. BKE's program is currently serving Barlonyo, Entebbe, and Kampala, however, their goal is to expand into the markets of Gulu and Iganga to benefit populations affected by war and albinism, respectively.

Characteristics of the Local Economy

The local economy of Entebbe and Uganda is heavily reliant on individual entrepreneurial efforts that cater to the local population. In the Busiro area, home to BKU, there are two major streets catering to larger business and tourists, as well as many side streets where most local business is conducted. Competition for storefronts in the market is high and so is the value of the property. Those without a storefront often set up a spot on the road and rely heavily on weekly markets to sell their goods. However, the businesses tend to be unsustainable individually as the market is not robust enough to generate the necessary demand for their products. There are too few buyers to sustain an individual firm's business. Therefore, most entrepreneurs adapt with secondary and tertiary forms of income;

Basket weavers generate revenue by selling juices and charcoal; Farmers create resilience by serving a second job as a veterinarian. Essentially, the local entrepreneurs adapt to assure their own economic well-being. It should be noted that due to this diversification of income, there is less emphasis on business investment – including hiring and specialization.

For the BKU Program, the participants operate as their a lending community, but do not follow a group lending model. There are 2 groups of roughly 10 recipients in the Entebbe/Kampala region. Each participant receives their own loans, but the community holds themselves accountable through meetings and sharing their business difficulties.

BKE's yearly training and monthly group meetings assure individuals have the chance to learn from one another and share their difficulties and successes. The yearly trainings highlight an understanding of bookkeeping, business finances, and SWOT analysis which helps entrepreneurs understand their current standing in the local market. While the monthly meetings involve repayments and a discussion of each recipients' successes and shortcomings.

Analysis of Goals

The goals of the loan program are to generate an income for the BKU nonprofit, to spread positive impacts across the community, and to build economic resilience and personal growth among recipients. However, the goals of the loan recipients are less clear. In all cases, the recipients mention immediate goal of providing their family with food and school fees. However, beyond one's immediate needs, goals among participants vary widely.

Interviews & Analysis

Interviews of the BKU Loan Recipients were conducted in May and June of 2019 by Luke Miler and Justin Giannantonio. The goals of the interviews were to understand their business, motivations, and goals for the future. Through these interviews we observed several needs among the recipients to complement their own expressed needs for their business success, and the needs they've already began to address.

Self-Expressed Needs

1. Greater Loan Amount
2. Flexibility with Interest Rates
3. Increased Understanding of Bookkeeping
4. Personal Development & Skill Building in their field
5. Stronger Sales from BKU
6. More Consistent Lessons

One of the most prevalent issues expressed by individuals was the difficulty in remembering the skills they had learned in training. While they were all aware of SWOT Analysis, understanding client retention, and bookkeeping importance, very few participants could remember the methods to practice these business skills. One recommendation our group emphasized was the importance of using the monthly meetings as a skill building opportunity as well as a debriefing opportunity. By creating a comprehensive training manual, the group could review a module every month to remain acquainted with their business learning.

Other needs as identified by the loan recipients often released themselves from personal responsibility for the lack of business growth. Generally, recipients acknowledge a need for increased understanding of bookkeeping and personal skills such as weaving, sewing, and certificate. However, to a much larger extent they related their hardships from insufficient loans, high interest rates, and the lack of sales originating from the BKU staff. BKU's own international fundraisers often see the organization selling local goods from loan participants in the US Market and may have generated a dependence of the local producers on the organization. Furthermore, while interest rates for BKU's loans are very low relative to local competitors, their loan amounts are low as well. As a result, it must be considered that there is an income threshold for the loan recipients and that an insufficient loan only covers their debts and does not allow for savings or investment.

<u>Participants' Initiative to Overcome their Needs</u>

1. Initiative in Participating in Microloan Program
2. Securing a Secondary Source of Income
3. Creativity in Choosing Job Market that Addresses Personal and Income Needs
4. Planning for the Next Loan

While participants regularly identify the lack of loan increase as a burden on their income, they have taken strong initiative in applying for the entire loan program and addressing their lack of financial security. As such they have shown a desire to become self-sufficient and acknowledged their businesses needs in some fashion. Furthermore, many workers address shortcomings by generating revenue through secondary businesses that overcome low loan amounts. One very common method is the wholesale purchase and local selling of charcoal. Furthermore, the creativity of local entrepreneurs is remarkable. Many businessowners formulate their business around the needs of their family. While school fees and food are usually the highest cost burdens on familial households, many recipients start restaurants or schools to eliminate the costs of providing for their own children while simultaneously growing their businesses. Lastly, BKU requires loan recipients to apply for each loan with a new proposal. Because of this, most recipients have a very strong understanding of their short-term needs and the goals over the next year. However, this does not necessarily translate into long-term planning.

<u>Observed Needs</u>

1. Long-term planning
2. Limited connection between a business' goal and their current practices
3. Need for reliable record keeping
4. Forecasting Income & Addressing Seasonality
5. Stronger understanding of the divide between personal and business expenses
6. Understanding that expansion doesn't occur with a bigger loan, but through bigger savings
7. Marketing is seen as a big investment rather than small measures
8. Mentoring & Monitoring
9. Partnerships are reliant on BKU, not on other loan recipients. This leads to a lack of resilience
10. Promoting partnerships between recipients

Planning & Records

While we attribute the presence of strong short-term goals to the requirement of detailing goals in loan proposals, long-term goals seem to be very vague or even absent. The lack of long-term planning in the developing world has often attributed to very unstable conditions for planning, such as political instability or higher potential for declining health. However, as these businesses seek to transition towards sustainable income production, long-term planning is essential. When pressed about 3 & 5 year plans, many recipients were hesitant to respond at all, while others indicated their intention to be running a business completely unrelated to their current practice. For example, basket weavers wanted to be tailors and charcoal sellers wanted to be landlords. Similarly, there is a lack of record keeping beyond day to day expenses. Records are sparse and far from comprehensive. As a result, planning for the long-term is very difficult. Lastly, saving for seasonal production and seasonal school fees would be benefited greatly by a stronger presence of record keeping ensuring more accurate business forecasting. Many times, recipients reported unexpected low periods from seasonality that may have been predicted given stronger records.

Business Expansion and Expenses

There is a common misunderstanding that growth occurs through loans, rather than through business revenue. Savings, investment, and profit are the core structures of business growth. While many business owners expressed an understanding of the importance of repeat customers, there was limited attention to the acquisition of new customers. Businesses must invest in themselves and their future to grow. New customer acquisition costs through marketing was daunting to the business owners. The two restaurant and bar owners interviewed had no visible signage to the public, despite having prominent storefronts on busy streets. Instead, one restaurant expressed a desire for an entire remodeling that would then attract new customers, while the other was similarly reluctant to using signs or paint to make themselves more visible. Marketing efforts can be done effectively incrementally.

Marketing strategies should center around the Four P's - Price, Product, Place, and Promotion, which need to be directed towards the target market for maximum effect. The participants of the BKU Microloan Program have a strong understanding of their current market. Their market consists of mostly returning customers, which is unsurprising as all the participants regularly boast of their desire to be great hosts. However, recipients should invest in the Four P's to create growth. Loan sizes may increase upon repayment, but if revenues are stagnant, a business will not become sustainable on their own.

Program Mentorship and Independence

The final observed need from the interviews is the need for independence from BKU. While BKU is responsible for the loans, the program must create partnerships between entrepreneurs to reduce the workload of BKU and to encourage business independence. While BKU's loan recipients are friends of the BKU community, the loan relationship should be a business relationship encouraging independence. One consistent belief among loan recipients was that growth their business was dependent on a bigger loan from BKU. This is an important fallacy to recognize as it can generate a state of dependency between borrowers and lenders. As the goal of BKE is to create resilience in the community, recipients should understand the importance of savings and self-investment as the primary source of growth.

More troubling, however, was the desire of many recipients to have BKU generate business on their behalf. Numerous recipients are reliant on BKU for international sales and purchases from tourism. Those selling food also expressed a reliance on the boom of BKU tourist season. Rather, we recommend that recipients try to build lateral partnerships among other loan recipients. For example, one way in which this can be realized is through partnerships between those with poor access to markets and those with poor marketing despite having a street-front presence. Basket sellers may bring in new customers to a restaurant and restaurants may be great places to display baskets for sale, creating a mutually beneficial business arrangement. Furthermore, this can be beneficial to encourage individual specialization, create a stronger community of loan recipients, and reduce the dependency on a single entity, BKU, that is often operating near the margin itself. Similarly, the most productive businesses may be able to mentor others. There is nobody to better demonstrate the business growth from microloans than those who had succeeded from them.

Lastly, there is a very important consideration for the recipients. BKU's microloan program relies on funding from Heaven's Family and the relationship between these 2 entities. Because of this, there is a genuine concern for the sustainability of that program entirely. If the livelihoods of the microloan recipients become reliant on the availability of these loans, they are essentially reliant on BKU and on Heaven's Family. As the goal of the loan is to create independence, loan recipients should be made aware that these loans may not be available indefinitely.

Conclusion

The Interviews with Microloan recipients of BKU revealed a complex nature of the business environment for microloan recipients throughout Uganda. While BKU seeks to create a sustainable loan program, they must understand their success is reliant on the success of the loan recipients. As such, the forthcoming training should be oriented towards including business growth and self-sufficiency by addressing the needs identified above.